

FINANCE COMMISSION

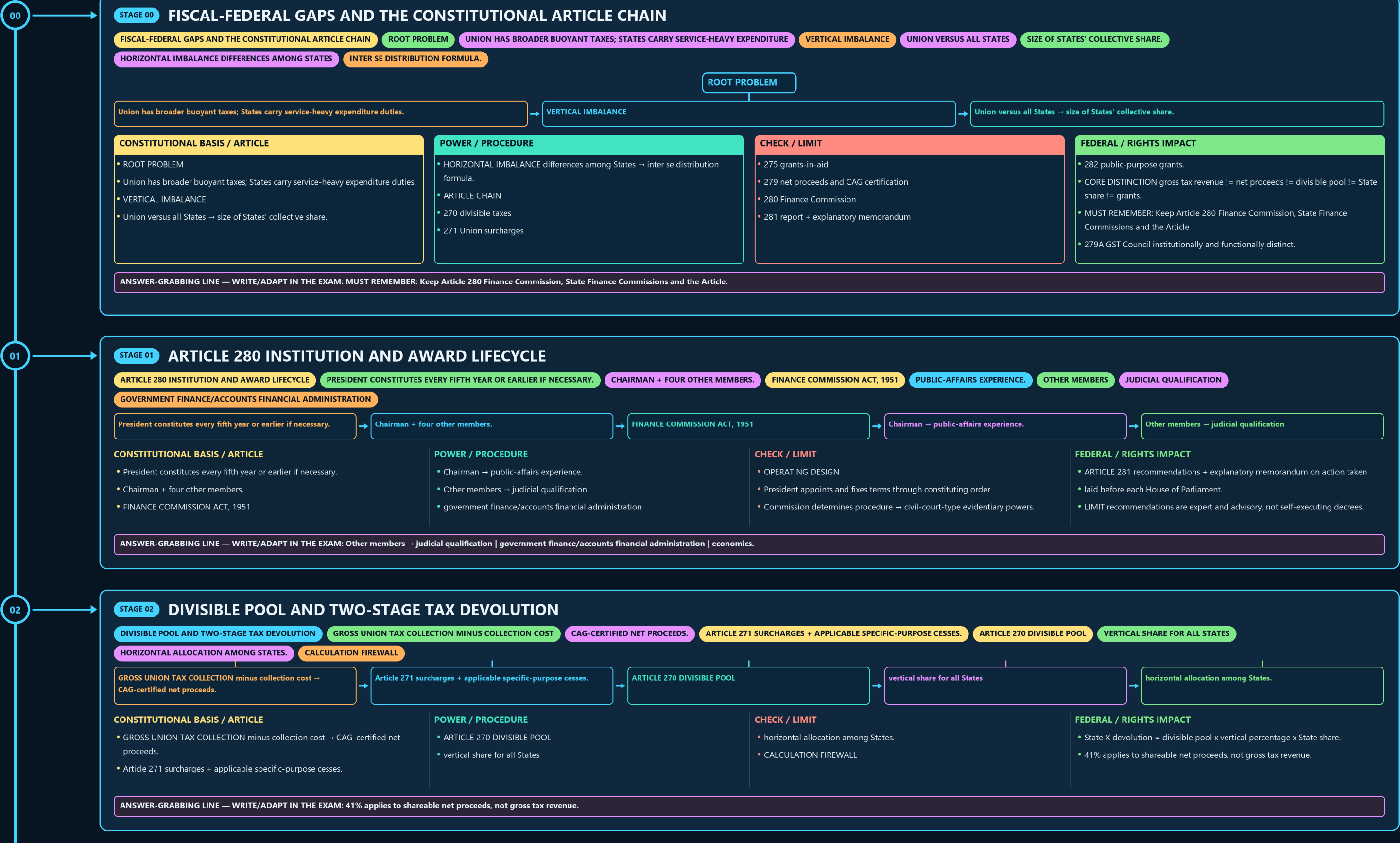
FISCAL-FEDERAL GAPS AND THE → ARTICLE 280 INSTITUTION AND → DIVISIBLE POOL AND TWO-STAGE → HORIZONTAL FORMULA: EQUITY, COST → GRANTS UNDER ARTICLES 275 → LOCAL-BODY AUGMENTATION THROUGH STATE

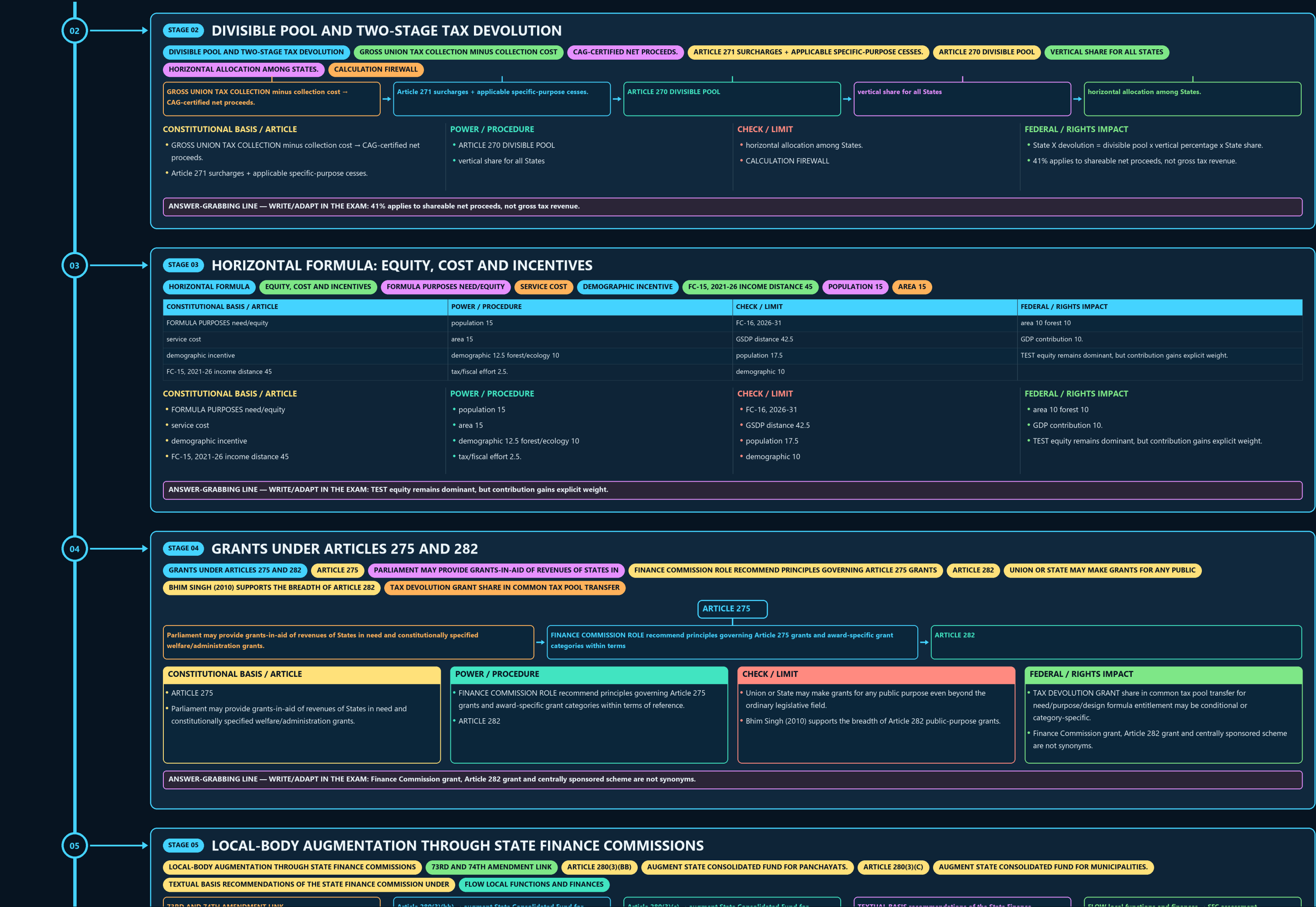
Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g4 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles





CONSTITUTIONAL BASIS / ARTICLE	POWER / PROCEDURE	CHECK / LIMIT	FEDERAL / RIGHTS IMPACT
- ARTICLE 275 - Parliament may provide grants-in-aid of revenues of States in need and constitutionally specified welfare/administration grants.	- FINANCE COMMISSION ROLE recommend principles governing Article 275 grants and award-specific grant categories within terms of reference. - ARTICLE 282	- Union or State may make grants for any public purpose even beyond the ordinary legislative field. - Bhim Singh (2010) supports the breadth of Article 282 public-purpose grants.	- TAX DEVOLUTION GRANT share in common tax pool transfer for need/purpose/design formula entitlement may be conditional or category-specific. - Finance Commission grant, Article 282 grant and centrally sponsored scheme are not synonyms.
ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Finance Commission grant, Article 282 grant and centrally sponsored scheme are not synonyms.			

05

STAGE 05 LOCAL-BODY AUGMENTATION THROUGH STATE FINANCE COMMISSIONS			
LOCAL-BODY AUGMENTATION THROUGH STATE FINANCE COMMISSIONS	73RD AND 74TH AMENDMENT LINK	ARTICLE 280(3)(BB)	AUGMENT STATE CONSOLIDATED FUND FOR PANCHAYATS.
ARTICLE 280(3)(C)	AUGMENT STATE CONSOLIDATED FUND FOR MUNICIPALITIES.		
TEXTUAL BASIS RECOMMENDATIONS OF THE STATE FINANCE COMMISSION UNDER		FLOW LOCAL FUNCTIONS AND FINANCES	
73RD AND 74TH AMENDMENT LINK	Article 280(3)(bb) → augment State Consolidated Fund for Panchayats.	Article 280(3)(c) → augment State Consolidated Fund for Municipalities.	TEXTUAL BASIS recommendations of the State Finance Commission under Articles 243I and 243Y.
FLOW local functions and finances → SFC assessment			
CONSTITUTIONAL BASIS / ARTICLE	POWER / PROCEDURE	CHECK / LIMIT	FEDERAL / RIGHTS IMPACT
73RD AND 74TH AMENDMENT LINK - Article 280(3)(bb) → augment State Consolidated Fund for Panchayats. - Article 280(3)(c) → augment State Consolidated Fund for Municipalities.	- TEXTUAL BASIS recommendations of the State Finance Commission under Articles 243I and 243Y. - FLOW local functions and finances → SFC assessment - Union Finance Commission augmentation recommendation	- Union budget/guidelines → State fund → eligible local bodies. - ACCOUNTABILITY accounts + audit + timely SFCs + transparent release + service outcomes. - Union local-body grants supplement; they do not replace State devolution, own revenue or the constitutional role of State Finance Commissions.	- CLOSE DISTINCTION: Vertical devolution applies to Article 270 net proceeds, not gross tax revenue - Article 271 surcharges and applicable cesses stay outside the divisible pool.
ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Vertical devolution applies to Article 270 net proceeds, not gross tax revenue; Article 271 surcharges and applicable cesses stay outside the divisible pool.			

06

STAGE 06 DISASTER FINANCE: RESPONSE, MITIGATION AND RELEASE CONTROLS			
DISASTER FINANCE	RESPONSE, MITIGATION AND RELEASE CONTROLS	DISASTER-MANAGEMENT FINANCE	FINANCE COMMISSION WORKS WITH THE DISASTER MANAGEMENT ACT FRAMEWORK.
STATE LEVEL	SDRF RESPONSE + SDMF MITIGATION.	NATIONAL LEVEL	NDRF RESPONSE + NDMF MITIGATION.
DISASTER-MANAGEMENT FINANCE			
Finance Commission works with the Disaster Management Act framework.	STATE LEVEL	SDRF response + SDMF mitigation.	
CONSTITUTIONAL BASIS / ARTICLE	POWER / PROCEDURE	CHECK / LIMIT	FEDERAL / RIGHTS IMPACT
- DISASTER-MANAGEMENT FINANCE - Finance Commission works with the Disaster Management Act framework. - STATE LEVEL	- SDRF response + SDMF mitigation. - NATIONAL LEVEL - NDRF response + NDMF mitigation.	- FC-16 FIVE-YEAR ENVELOPES - State funds: Rs 2,04,401 crore - national funds: Rs 79,406 crore.	- CONTROL award envelope != annual budget != release != expenditure. - Conditions, contribution ratios, accounts and events govern access.
ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Conditions, contribution ratios, accounts and events govern access.			

07

STAGE 07 FC-14, FC-15 AND FC-16: DATED AWARD TRAJECTORY			
FC-14, FC-15 AND FC-16	DATED AWARD TRAJECTORY	FOURTEENTH FINANCE COMMISSION	STATES' VERTICAL SHARE RAISED FROM 32% TO 42%.
FIFTEENTH FINANCE COMMISSION	41% VERTICAL SHARE; SIX HORIZONTAL CRITERIA INCLUDING DEMOGRAPHIC PERFORMANCE		
SIXTEENTH FINANCE COMMISSION CONSTITUTED 31 DECEMBER 2023	REPORT SUBMITTED 17 NOVEMBER 2025		
FOURTEENTH FINANCE COMMISSION: 2015-20	States' vertical share raised from 32% to 42%.	FIFTEENTH FINANCE COMMISSION: 2021-26	41% vertical share; six horizontal criteria including demographic performance, forest/ecology and tax/fiscal effort.
SIXTEENTH FINANCE COMMISSION constituted 31 December 2023 → report submitted 17 November 2025			
CONSTITUTIONAL BASIS / ARTICLE	POWER / PROCEDURE	CHECK / LIMIT	FEDERAL / RIGHTS IMPACT
- FOURTEENTH FINANCE COMMISSION: 2015-20 - States' vertical share raised from 32% to 42%. - FIFTEENTH FINANCE COMMISSION: 2021-26	41% vertical share; six horizontal criteria including demographic performance, forest/ecology and tax/fiscal effort. - SIXTEENTH FINANCE COMMISSION constituted 31 December 2023 → report submitted 17 November 2025 - award period 2026-27 to 2030-31	- Explanatory Memorandum tabled 1 February 2026. - DATED CONTROL 41% vertical share accepted for 2026-31.	- Per-capita GSDP distance carries the largest horizontal weight, 42.5% - GDP contribution appears with 10% weight. - LIMIT report recommendation, government acceptance and annual implementation must remain separate.
ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT report recommendation, government acceptance and annual implementation must remain separate.			

07

STAGE 07

FC-14, FC-15 AND FC-16: DATED AWARD TRAJECTORY

FC-14, FC-15 AND FC-16DATED AWARD TRAJECTORYFOURTEENTH FINANCE COMMISSIONSTATES' VERTICAL SHARE RAISED FROM 32% TO 42%.FIFTEENTH FINANCE COMMISSION41% VERTICAL SHARE; SIX HORIZONTAL CRITERIA INCLUDING DEMOGRAPHIC PERFORMANCE

SIXTEENTH FINANCE COMMISSION CONSTITUTED 31 DECEMBER 2023REPORT SUBMITTED 17 NOVEMBER 2025

FOURTEENTH FINANCE COMMISSION: 2015-20

States' vertical share raised from 32% to 42%.

FIFTEENTH FINANCE COMMISSION: 2021-26

41% vertical share; six horizontal criteria including demographic performance, forest/ecology and tax/fiscal effort.

SIXTEENTH FINANCE COMMISSION constituted 31 December 2023 → report submitted 17 November 2025

CONSTITUTIONAL BASIS / ARTICLE

- FOURTEENTH FINANCE COMMISSION: 2015-20
- States' vertical share raised from 32% to 42%.
- FIFTEENTH FINANCE COMMISSION: 2021-26

POWER / PROCEDURE

- 41% vertical share; six horizontal criteria including demographic performance, forest/ecology and tax/fiscal effort.
- SIXTEENTH FINANCE COMMISSION constituted 31 December 2023 → report submitted 17 November 2025
- award period 2026-27 to 2030-31

CHECK / LIMIT

- Explanatory Memorandum tabled 1 February 2026.
- DATED CONTROL
- 41% vertical share accepted for 2026-31.

FEDERAL / RIGHTS IMPACT

- Per-capita GSDP distance carries the largest horizontal weight, 42.5%
- GDP contribution appears with 10% weight.
- LIMIT report recommendation, government acceptance and annual implementation must remain separate.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT report recommendation, government acceptance and annual implementation must remain separate.

08

STAGE 08

FC-16 GRANTS, FISCAL ROADMAP AND RESPONSE STATUS

FC-16 GRANTS, FISCAL ROADMAP AND RESPONSE STATUSFC-16 REPORTGOVERNMENT RESPONSE41% VERTICAL SHARE + REVISED HORIZONTAL FORMULALOCAL-BODY AND DISASTER GRANT DESIGNS3% STATE DEFICIT BASELINEACCEPTED IN PRINCIPLE.UNION 3.5% PATH AND WIDER REFORMS

CONSTITUTIONAL BASIS / ARTICLE	POWER / PROCEDURE	CHECK / LIMIT	FEDERAL / RIGHTS IMPACT
FC-16 REPORT → GOVERNMENT RESPONSE	3% State deficit baseline: accepted in principle.	FY 2026-27 BUDGET	3% State deficit baseline: accepted in principle.
41% vertical share + revised horizontal formula: accepted.	Union 3.5% path and wider reforms: separate examination.	Rs 1.4 lakh crore for local-body and disaster grants.	
Local-body and disaster grant designs: accepted.	No RDG, sector or State-specific grants recommended: taken note of.	STATUS RULE recommended != accepted != budgeted != released.	

CONSTITUTIONAL BASIS / ARTICLE

- FC-16 REPORT → GOVERNMENT RESPONSE
- 41% vertical share + revised horizontal formula: accepted.
- Local-body and disaster grant designs: accepted.

POWER / PROCEDURE

- 3% State deficit baseline: accepted in principle.
- Union 3.5% path and wider reforms: separate examination.
- No RDG, sector or State-specific grants recommended: taken note of.

CHECK / LIMIT

- FY 2026-27 BUDGET
- Rs 1.4 lakh crore for local-body and disaster grants.
- STATUS RULE recommended != accepted != budgeted != released.

FEDERAL / RIGHTS IMPACT

- 3% State deficit baseline: accepted in principle.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: STATUS RULE recommended != accepted != budgeted != released.

09

STAGE 09

CESSES, SURCHARGES AND THE SHRINKING-BASE DEBATE

CESSES, SURCHARGES AND THE SHRINKING-BASE DEBATECONSTITUTIONAL EXCLUSIONARTICLE 271 SURCHARGE AND APPLICABLE SPECIFIC-PURPOSE CESSES STAY OUTSIDEMECHANISM MORE EXCLUDED LEVIESDIVISIBLE POOL MAY LAG GROSS TAX REVENUE41% OPERATES ON A NARROWER BASE.

FC-16 POSITION NO CAP OR INCLUSION RECOMMENDATION; ANNUAL DISCLOSUREREFORM LADDER DISCLOSURE

CONSTITUTIONAL BASIS / ARTICLE	POWER / PROCEDURE	CHECK / LIMIT	FEDERAL / RIGHTS IMPACT
- CONSTITUTIONAL EXCLUSION - Article 271 surcharge and applicable specific-purpose cesses stay outside sharing.	- MECHANISM more excluded levies → divisible pool may lag gross tax revenue 41% operates on a narrower base.	- FC-16 POSITION no cap or inclusion recommendation; annual disclosure of CAG-certified net proceeds. - REFORM LADDER disclosure → periodic review/sunset → wider fiscal bargain	- legal or constitutional redesign only if adopted. - CONSTITUTIONAL EXCLUSION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: REFORM LADDER disclosure → periodic review/sunset → wider fiscal bargain.

10

STAGE 10

FINANCE COMMISSION, GST COUNCIL, CAG, NITI AND SFC

FINANCE COMMISSION, GST COUNCIL, CAG, NITI AND SFCFINANCE COMMISSIONARTICLE 280PERIODIC EXPERT BODYTAX DEVOLUTION + GRANTS + FISCAL ADVICE.GST COUNCILARTICLE 279ACONTINUING UNION-STATE FORUM

Article 280	periodic expert body	tax devolution + grants + fiscal advice.
Article 279A	continuing Union-State forum	GST recommendations and bargaining.
NITI AAYOG executive-resolution policy platform	strategy and cooperative dialogue no Article 280 transfer award.	
Articles 148-151	audits and certifies net proceeds under Article 279 does not allocate the divisible pool.	
Articles 243I/243Y	State-local fiscal relations every five years.	

CONSTITUTIONAL BASIS / ARTICLE

- FINANCE COMMISSION
- Article 280

POWER / PROCEDURE

- Article 279A
- continuing Union-State forum

CHECK / LIMIT

- strategy and cooperative dialogue no Article 280 transfer award.
- Articles 148-151

FEDERAL / RIGHTS IMPACT

- State-local fiscal relations every five years.
- TRAP coordination, distribution, strategy, audit and State-local review are

FINANCE COMMISSION • TILE 4/5 • same master rows 7138-10372 of 12752 • continues below

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: REFORM LADDER disclosure → periodic review/sunset → wider fiscal bargain.

10

STAGE 10 FINANCE COMMISSION, GST COUNCIL, CAG, NITI AND SFC

FINANCE COMMISSION, GST COUNCIL, CAG, NITI AND SFC

FINANCE COMMISSION

ARTICLE 280

PERIODIC EXPERT BODY

TAX DEVOLUTION + GRANTS + FISCAL ADVICE.

GST COUNCIL

ARTICLE 279A

CONTINUING UNION-STATE FORUM

Article 280	periodic expert body	tax devolution + grants + fiscal advice.
Article 279A	continuing Union-State forum	GST recommendations and bargaining.
NITI AAYOG executive-resolution policy platform	strategy and cooperative dialogue no Article 280 transfer award.	
Articles 148-151	audits and certifies net proceeds under Article 279 does not allocate the divisible pool.	
Articles 243I/243Y	State-local fiscal relations every five years.	

CONSTITUTIONAL BASIS / ARTICLE

- FINANCE COMMISSION
- Article 280
- periodic expert body
- tax devolution + grants + fiscal advice.
- GST COUNCIL

POWER / PROCEDURE

- Article 279A
- continuing Union-State forum
- GST recommendations and bargaining.
- Mohit Minerals (2022) → recommendations persuasive, not legislative commands.
- NITI AAYOG executive-resolution policy platform

CHECK / LIMIT

- strategy and cooperative dialogue no Article 280 transfer award.
- Articles 148-151
- audits and certifies net proceeds under Article 279 does not allocate the divisible pool.
- STATE FINANCE COMMISSION
- Articles 243I/243Y

FEDERAL / RIGHTS IMPACT

- State-local fiscal relations every five years.
- TRAP coordination, distribution, strategy, audit and State-local review are different functions.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRAP coordination, distribution, strategy, audit and State-local review are different functions.

11

STAGE 11 PYQ ROUTES, TRAPS, REFORMS AND ANSWER SPINE

PYQ ROUTES, TRAPS, REFORMS AND ANSWER SPINE

CORE DEBATES CESSES/SURCHARGES AND DIVISIBLE-POOL EROSION

EQUITY VERSUS INCENTIVE DATA LAG AND CLIMATE/ECOLOGY COSTS

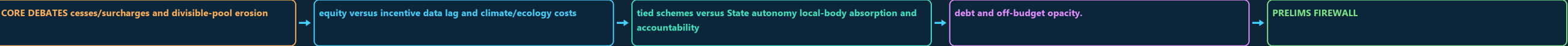
TIED SCHEMES VERSUS STATE AUTONOMY LOCAL-BODY ABSORPTION AND ACCOUNTABILITY

DEBT AND OFF-BUDGET OPACITY.

PRELIMS FIREWALL

CHAIR + FOUR

FIVE YEARS OR EARLIER



CONSTITUTIONAL BASIS / ARTICLE

- CORE DEBATES cesses/surcharges and divisible-pool erosion
- equity versus incentive data lag and climate/ecology costs
- tied schemes versus State autonomy local-body absorption and accountability
- debt and off-budget opacity.
- PRELIMS FIREWALL

POWER / PROCEDURE

- five years or earlier
- President constitutes
- Article 281 requires report and memorandum vertical != horizontal
- Article 275 != Article 282
- SFC != Union Finance Commission

CHECK / LIMIT

- PYQ ROUTES
- 2018 constitution/ToR
- 2021 Fourteenth FC
- 2023 horizontal criteria
- 2025 Fifteenth FC facts

FEDERAL / RIGHTS IMPACT

- MAINS SPINE define imbalance → article chain → transfer mechanism → award evidence
- contested incentive/autonomy effect → implementation qualification
- predictable, transparent and accountable fiscal-federal verdict.
- LEGAL/SOURCE LIMIT: The Sixteenth Finance Commission report and February 2026 Explanatory
- Memorandum control the 2026-31 award: 41 per cent vertical share and the accepted six-criterion horizontal formula.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Memorandum control the 2026-31 award: 41 per cent vertical share and the accepted six-criterion horizontal formula.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT

FINANCE COMMISSION (ARTICLE 280) — ADVANCED

PART A — CONSTITUTION & COMPOSITION (ART 280)

PART B — FUNCTIONS

PART C — ADVISORY ROLE & FISCAL FEDERALISM

PART D — 16TH FINANCE COMMISSION (CURRENT)

WHAT THIS OWNER MUST NOW SUPPORT

RECOMMENDATIONS ARE ADVISORY, NOT BINDING — BUT (DR. P.V.)

OPTIONAL DOCTRINE / CASE

- Finance Commission (Article 280) — ADVANCED / COMPLETE
- PART A — CONSTITUTION & COMPOSITION (Art 280)
- PART B — FUNCTIONS
- PART C — ADVISORY ROLE & FISCAL FEDERALISM

ADVANCED LIMIT

- PART D — 16th FINANCE COMMISSION (current)
- What this owner must now support
- CAUTION: Recommendations are advisory, NOT binding — but (Dr. P.V. Rajamannar , 4th FC chain) "should not be
- Till 2014 the FC's role was undermined by the Planning Commission (a non-constitutional, non-statutory

COMPARATIVE NUANCE

- "Net proceeds" = tax proceeds minus cost of collection , certified by the CAG (final).
- 16th FC chaired by Arvind Panagariya , constituted Dec 2023 ; award period 2026–31 . Report
- Vertical devolution retained at 41% of the divisible pool (states had demanded 50%) — same as the 15th FC.
- New horizontal formula adds a "Contribution to GDP" (10%) criterion:

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.